

Investment Banking: Course Notes

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Commercial vs. Investment Banks

The two types of banking institutions



Commercial Banking

VS



Investment Banking

Commercial banking is typically known as the practice of accepting deposits and providing loans. The core activity of commercial banks is to gather funds from individuals and businesses and then extend credit to borrowers.	Description	Investment banks engage in a range of sophisticated activities, including initial public offerings (IPOs), merger and acquisition (M&A) advice, corporate restructuring, trading, and asset management.
Commercial banking services include accepting deposits, providing loans, issuing bank checks, managing cash and Treasury management.	Services	Capital Markets (IPOs, SEOs, Private Placements), M&A, Restructurings, Trading and Brokerage, Asset Management
Retail Clients, Small Corporate Clients, Medium and Large Corporate Clients	Clients	HNWI, Medium and Large Corporations, Institutional Investors, Hedge Funds, Private Equity Funds

Universal vs. Pure Investment Banks

One-stop-shop or a specialized shop?



Universal Banks

VS



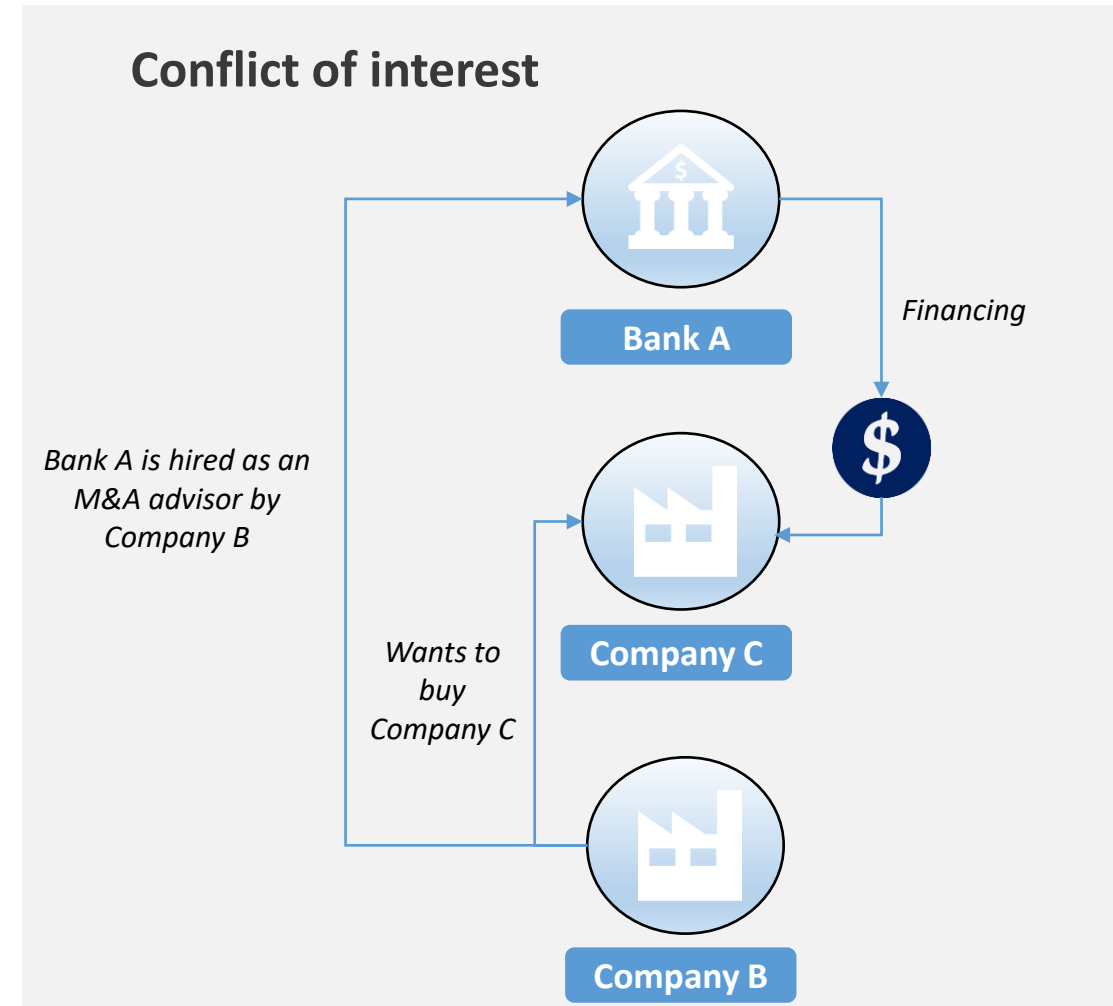
Pure Investment Banks

Universal banks offer a combination of commercial and investment banking services.	Description	A pure investment bank only provides investment banking services and does not offer commercial banking product such as deposit-taking and lending.
Universal banks have the ability to offer a wide range of products to their clients, providing a one-stop-shop for all banking needs.	Competitive Advantage	Specialization, focus, and historical relationships; Superb services offered to clients
J.P. Morgan Chase, HSBC, Credit Suisse, Societe Generale, BNP Paribas, Barclays, Bank of America Merrill Lynch	Examples	Goldman Sachs, Morgan Stanley, Lazard

Conflicts of Interest

An agent may act counter to the interests of their client to protect their own interests.

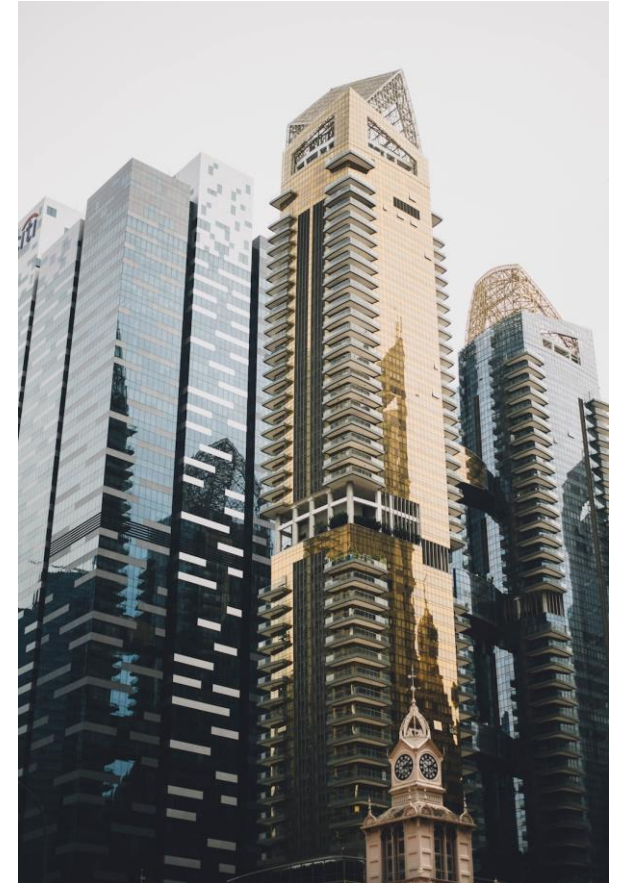
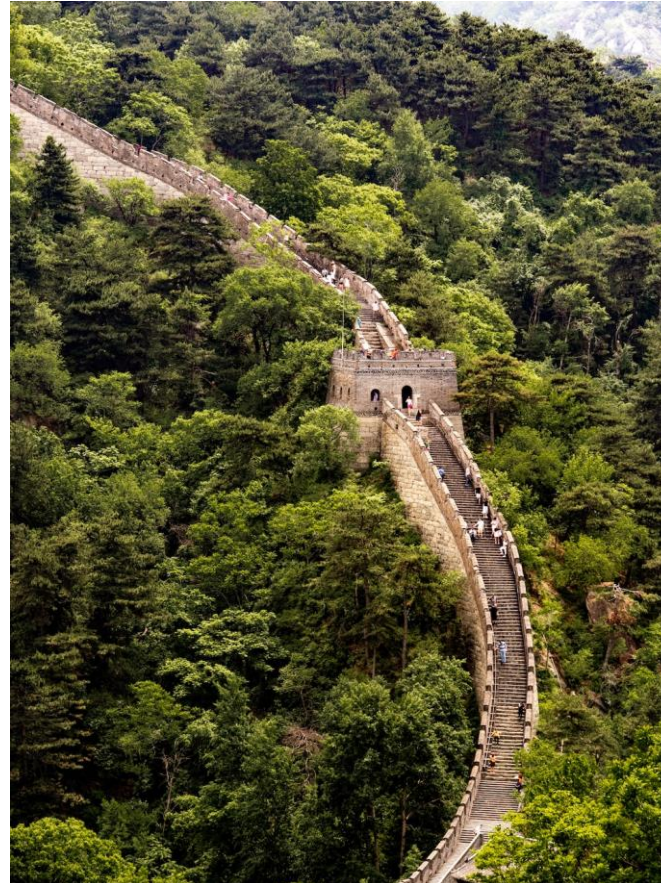
In the scenario described, Universal Bank A, which offers both commercial and investment banking services, has financed Company C. When another firm, Company B, expresses interest in acquiring Company C, they hire Universal Bank A as an advisor for the transaction. Due to their knowledge of Company C's business, Universal Bank A may have concerns about the ability to recover the loan they provided to Company C. In this case, it would be in their best interest to assist Company B in acquiring Company C in order to recoup the loan and earn an advisory fee. However, this creates a conflict of interest between the bank's own interests and those of their client, Company B.



Chinese Walls

Separate functions within an organization that can have a potential conflict of interest

Chinese Walls serve as a barrier between different divisions of an organization to prevent conflicts of interest from arising. They ensure that client information remains confidential and is only shared with authorized personnel within the firm. Employees working in different departments of an investment bank, for example, must act as if they are part of separate organizations to uphold the integrity of these Chinese Walls.



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The four main divisions in Investment Banking

Capital Markets

Working with companies that seek to raise capital



Capital markets are a captivating aspect of investment banking, crucial for companies seeking to go public or issue debt to the public.



Issuing Equity (ECM)

Going public marks a significant milestone for a company. The Equity Capital Markets (ECM) division of an investment bank works with companies that are going to be listed. These businesses have grown to become large entities that are ready for public investment. Upon listing, shares are sold to institutional and retail investors, granting them influence over company leadership and board composition.

Issuing Debt (DCM)

Investment banks' Debt Capital Markets division assists companies seeking to issue debt securities, called bonds. The process is similar to an equity offering, with many of the same players involved. The key distinction is that bonds can also be issued by sovereign countries and other government entities. Bonds are typically easier to price than equity, as companies issuing them have a credit rating (a measure of creditworthiness provided by independent credit rating agencies).

Advisory

Assist clients in M&A deals and Restructuring procedures



Advisory is a division comprised of experts in Corporate Finance, capable of handling complex transactions like M&A and Corporate Restructuring for clients.



M&A

M&A stands for Mergers and Acquisitions. An acquisition occurs when a company buys another company's shares or assets, while a merger happens when the acquiring company absorbs the target company, which then ceases to exist. M&A deals hold significance for companies, as top management understands the cost savings of acquiring existing assets rather than developing them internally.

Restructuring

Corporate distress occurs when a company is unable to meet its debt obligations and is at risk of bankruptcy. This can stem from operational difficulties or financial problems, despite a profitable core business. In these cases, a private workout or formal bankruptcy procedure in court are the two main options. Lenders prefer private workouts, as they result in quicker outcomes and a higher recovery rate.

Trading and Brokerage

Buying and selling of financial instruments



Buying and selling securities with the investment bank's funds or on behalf of clients.



Trading

Proprietary trading refers to the investment bank using its own funds to purchase financial instruments for a limited time, with the goal of selling them for a profit. This is often profitable, as investment banks have a strong understanding of financial markets and short-term profitable trades.

Brokerage

Asset Managers and institutional investors use brokerage services provided by investment banks. The banks sell securities to these clients and make a profit from the bid/ask spread - the difference between the buying and selling prices of a security.

Asset Management

Generate returns for clients by investing their money in various financial instruments



Investment banks provide asset management services to institutional investors, such as pension funds and investment firms, and high net-worth individuals.



Institutional Investors

Institutional investors like pension funds and investment companies partner with investment banks for access to exclusive investment options like structured products, equity, fixed income, private equity, and real estate.

HNWI (High Net-Worth Individuals)

Investment banks cater to high net-worth individuals (HNWIs) with over \$10 million in investable income by providing specialized services like deposit taking and payments, discretionary asset management, tax advisory, and sometimes concierge services.

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Capital Markets

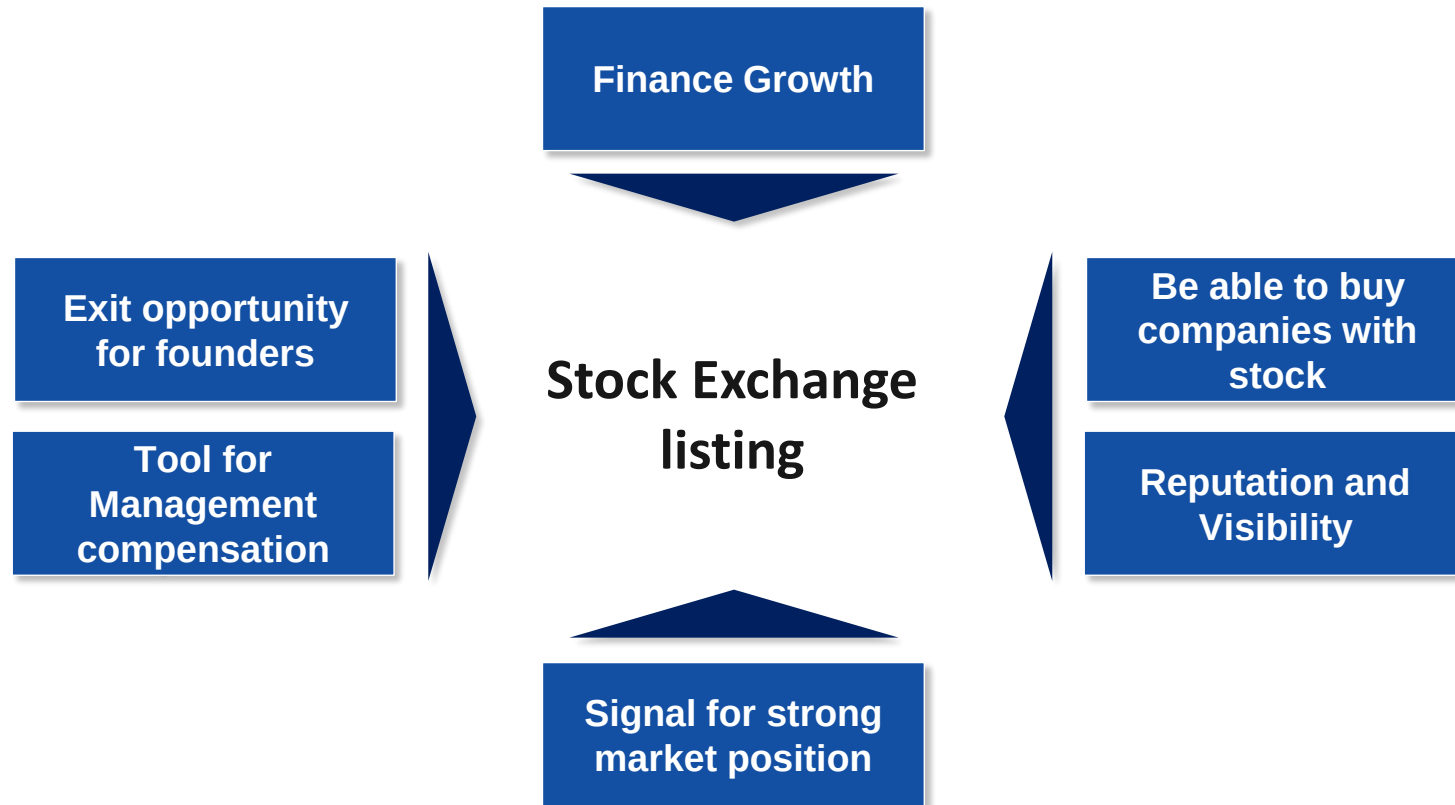
Capital Markets Services

Types of services and activities within an investment bank's ECM and DCM divisions

Category	Product type		Description	Type of investors
Equity Offerings	1	Initial Public Offerings	The initial public offering (IPO) of a company's stock, where it is listed on a stock exchange and made available to investors at a set price range	Private Investors & Sophisticated Investors
	2	Seasoned Public Offerings	Transactions in which publicly-listed firms raise additional equity capital	Private Investors & Sophisticated Investors
	3	Private Placements	Raising equity through limited offering to sophisticated investors, avoiding the need for full registration procedures required in initial public offerings (IPOs).	Sophisticated Investors
Debt Offerings	1	Bond Offerings	Issuance of bonds by public authorities, credit institutions, companies and supranational organizations. Process is similar to equity offerings although pricing is easier	Private Investors & Sophisticated Investors
	2	Securitization	Receivables under some form (credits, rents, leases) are packaged together and sold as a security to investors. Often these securities are referred to as Asset Backed Securities (ABS)	Private Investors & Sophisticated Investors
	3	Loan syndication	Providing a loan as a group of banks (a syndicate).	Financial Institutions

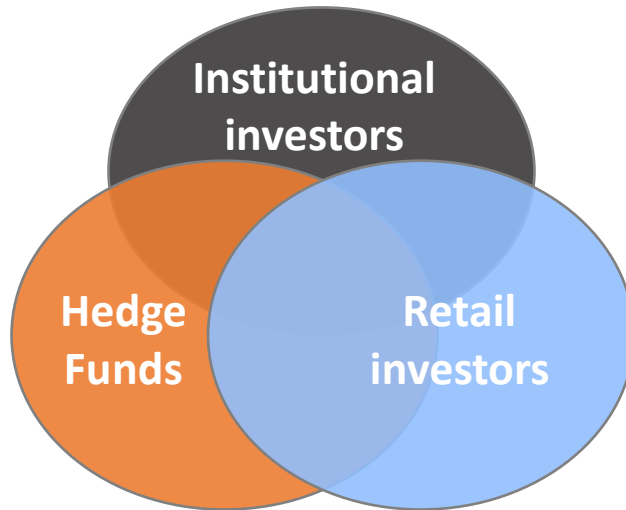
Why Companies Go Public?

Motivations for a company's decision to go public via listing on a stock exchange.



Who are the investors and what do they look for?

Types of investors



The above categories of investors differ from each other in their:

- Investment horizon
- Return expectations
- Risk profile
- Sophistication

Nevertheless, investors are interested in similar type of stories:

Success stories

Strong leadership

Growth potential

Modest valuation (Lower Price Range)

Companies with positive Cash flows

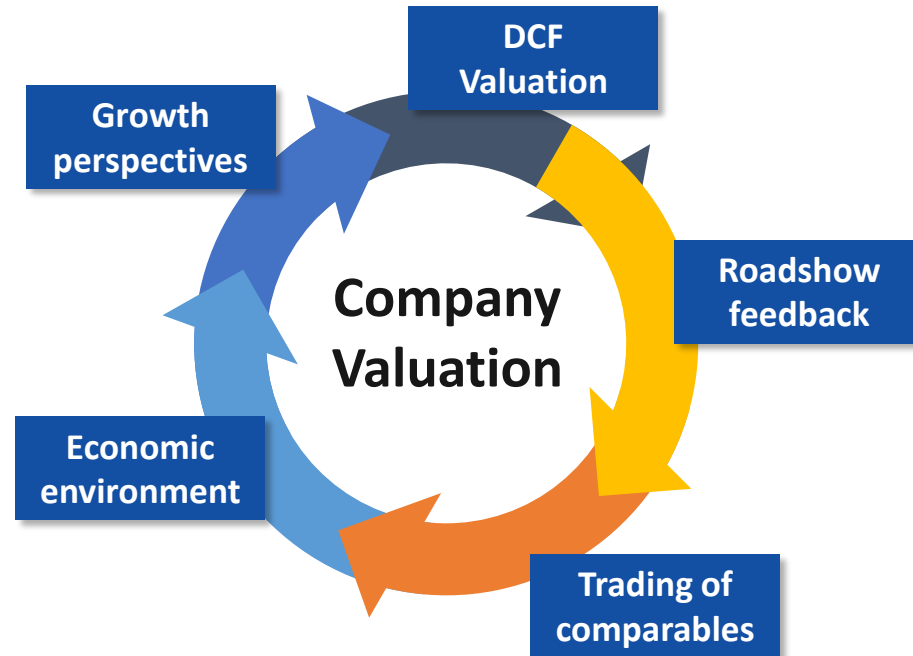
Solid market position

High demand for the IPO

Pricing mechanisms of an IPO

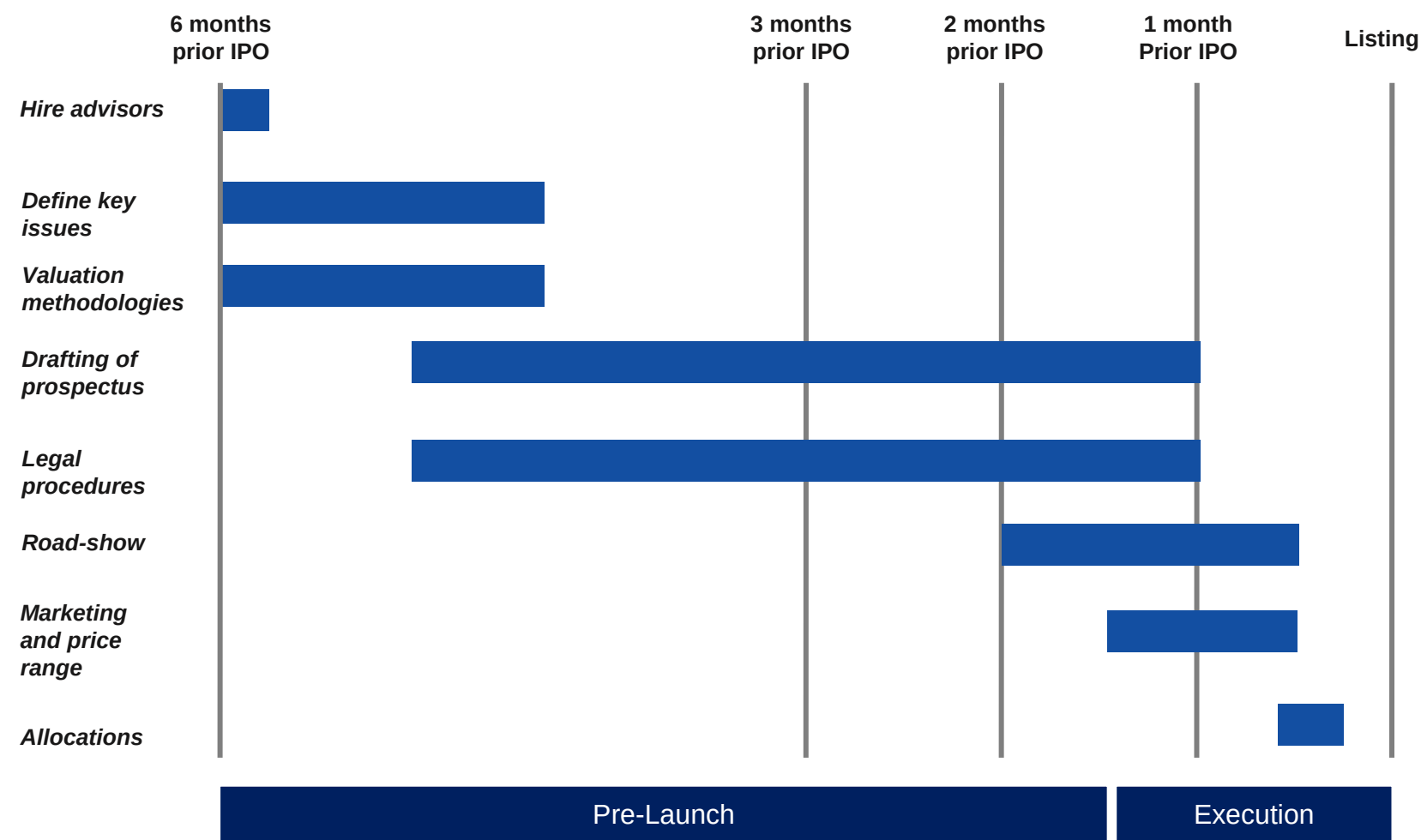
Factors that determine the price of a company that is going public

The pricing for an IPO is determined by various factors with the aim of offering a small discount to the company's value to satisfy investors and boost post-launch trading of the shares.



Timetable of an IPO

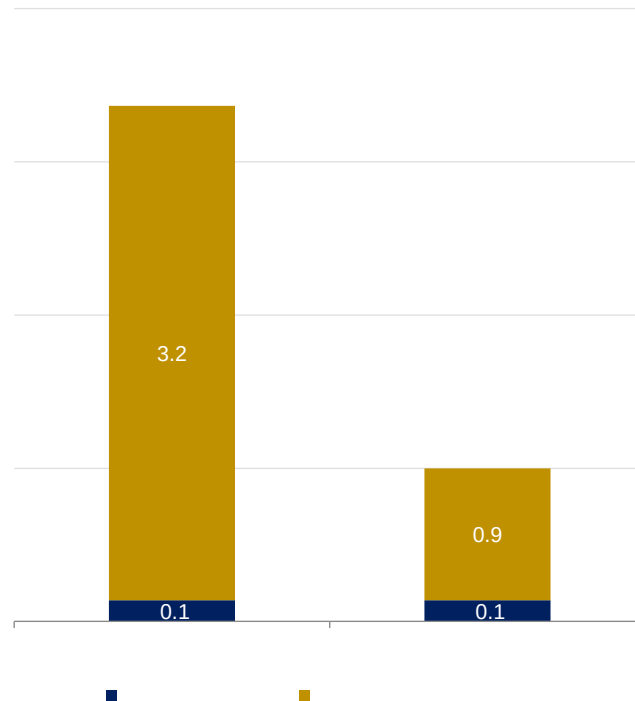
The timing of the various stages involved in an initial public offering (IPO)



The allocation of shares

The allocation process in practice

The objective is to identify investors who have confidence in the stock and are prepared to retain it for the long term.



During the allocation process, banks aim to involve these types of investors:

- Investors willing to keep the stock for a sustained period of time
- Industry opinion leaders
- Investors who participated in the roadshow and provided valuable feedback
- Investors with strong reputation (Blackrock, State Street etc.)
- Investors who worked hard to understand the company

Nevertheless, it should be remembered that the leading bank proposes an allocation and then company ownership decides whether to go through with it or not

SEOs and Private Placements

Alternative ways to raise equity capital



Seasoned Equity Offerings are similar to IPOs, but much simpler due to the following reasons:

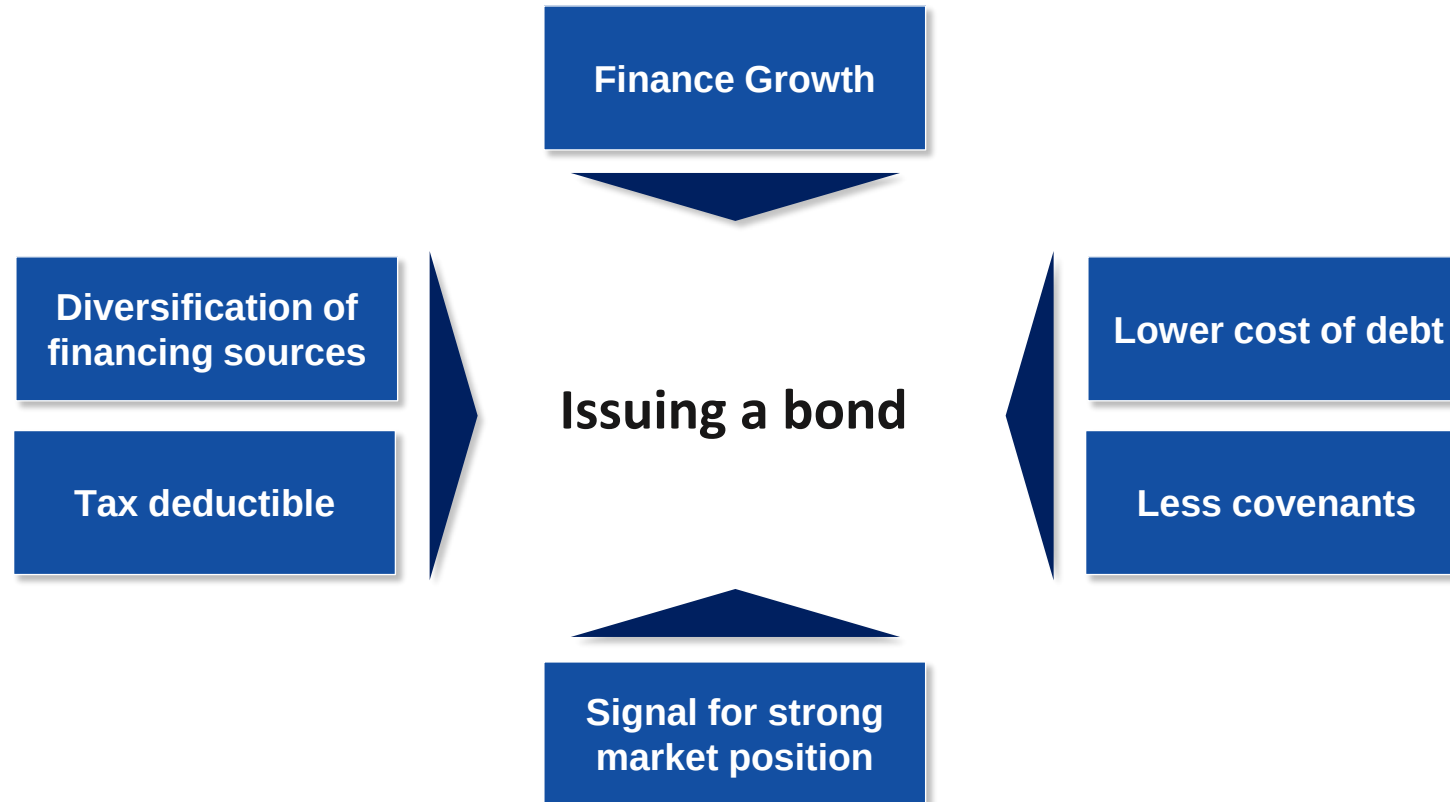
- Documentation and filings are already prepared and submitted
- Valuation is much easier as the company is traded on the market
- Many investors are familiar with the company

Private placements are equity offerings exempt from a large part of the registration procedures

Offered to institutional investors only

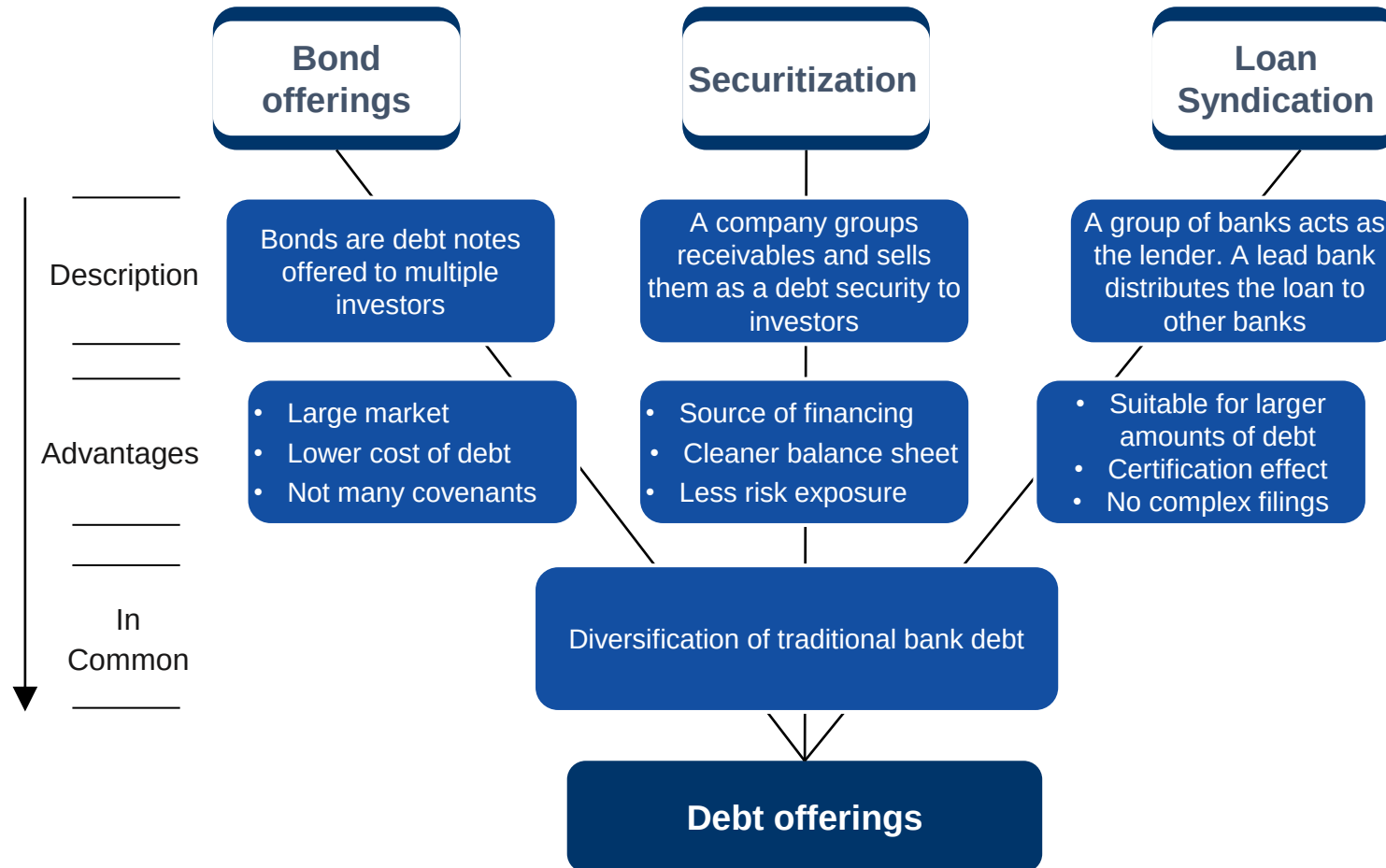
Bond offerings

Why large companies prefer bonds over traditional bank loans as a means of financing



Comparison of debt offerings

Characteristics of the types of debt offerings carried out by investment banks



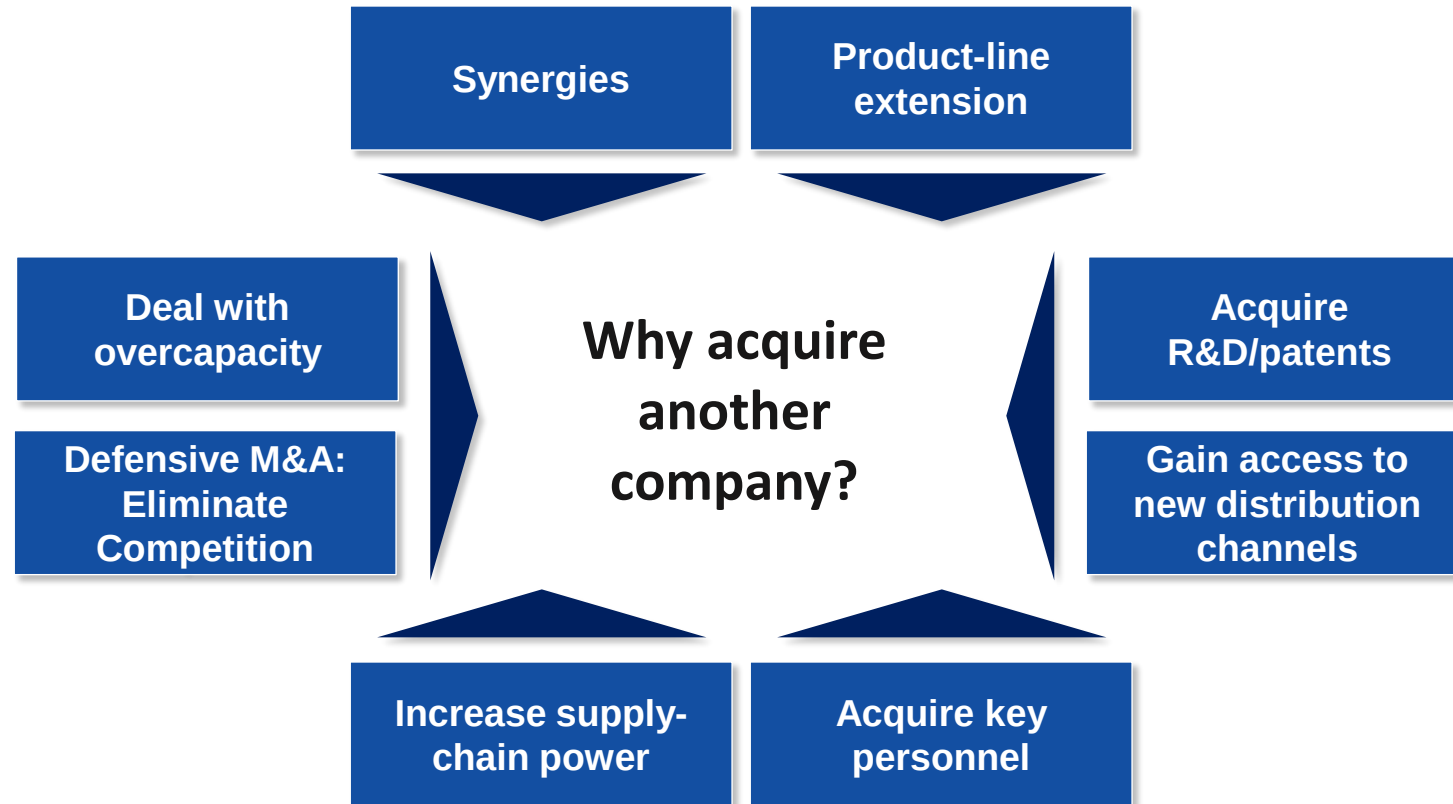
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Advisory

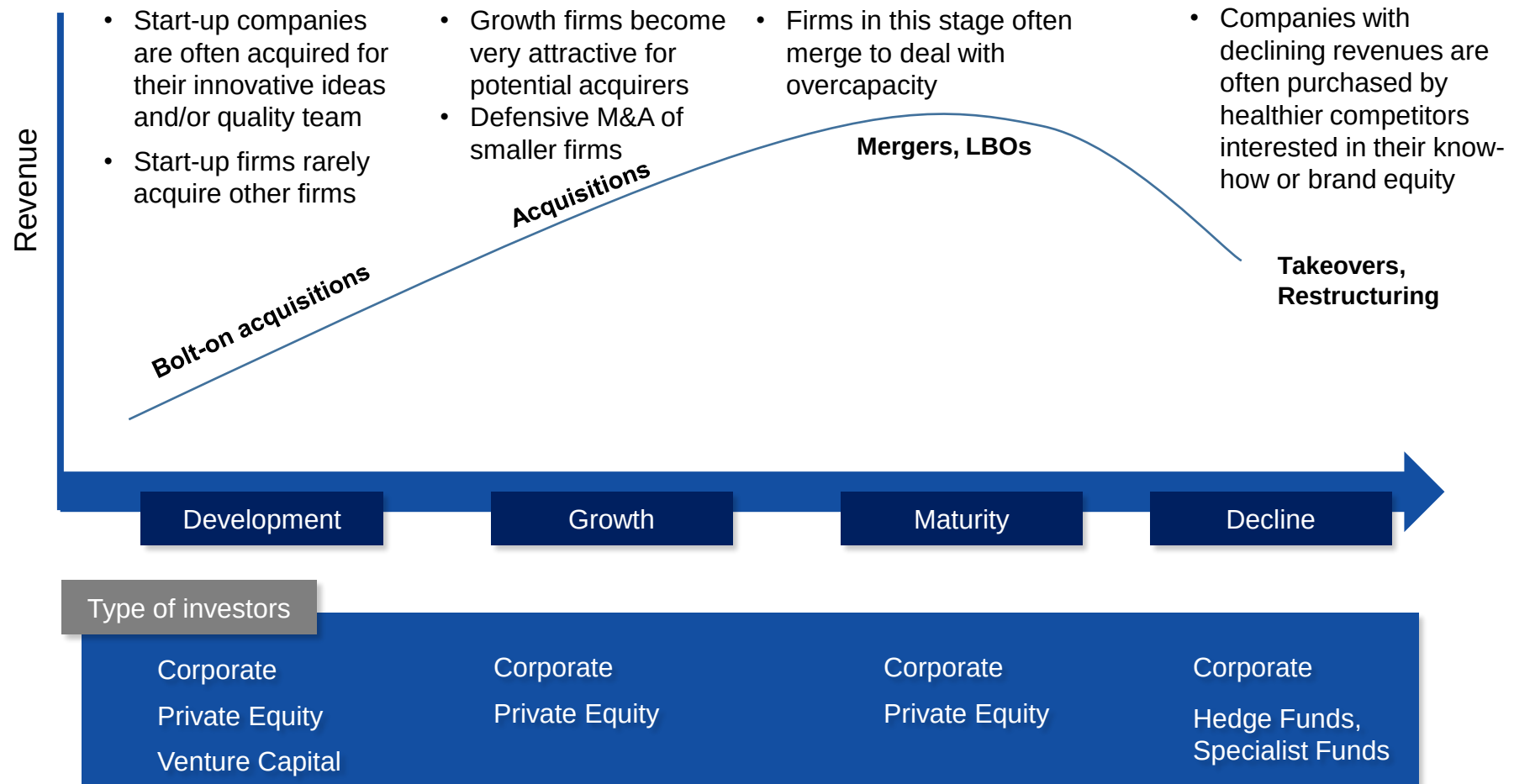
Why acquire another company?

The reason for M&A deals



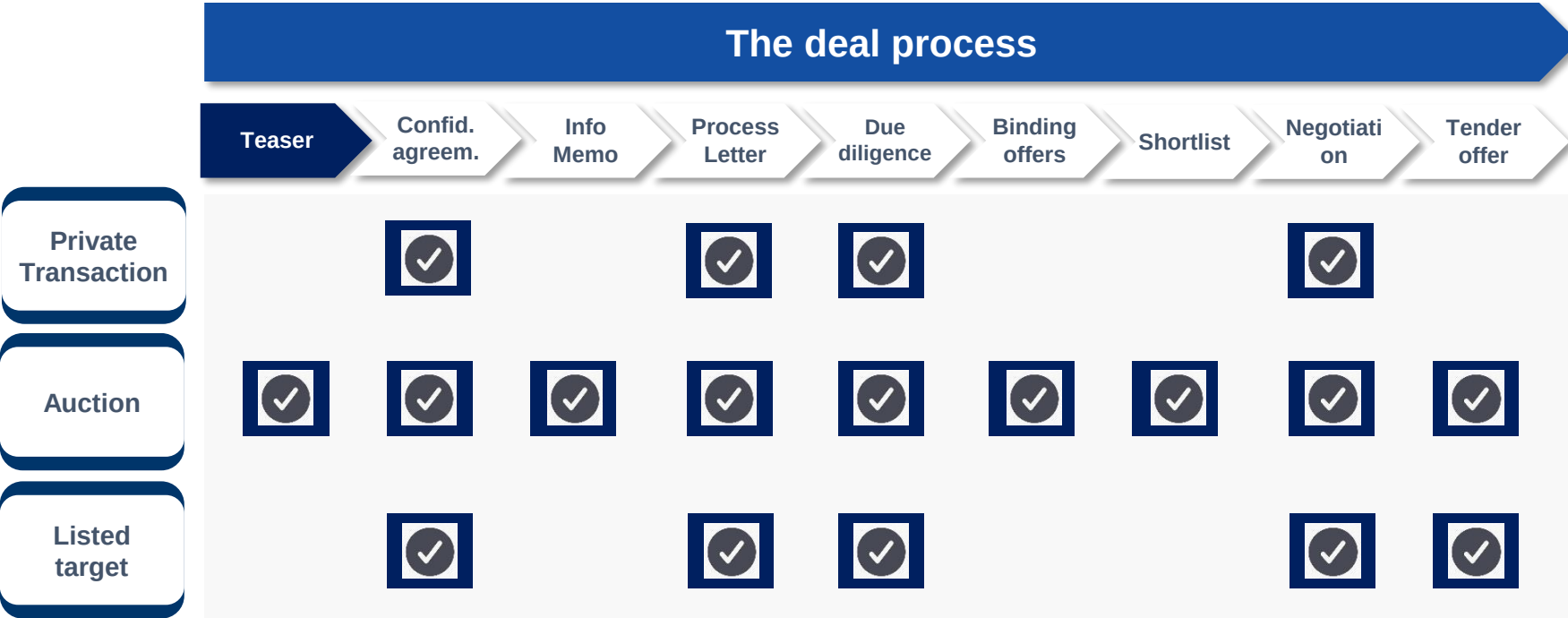
Deal lifecycle and buyers

The types of M&A deals that occur throughout a company's lifecycle



The process of acquiring another company

Preparing a teaser offer



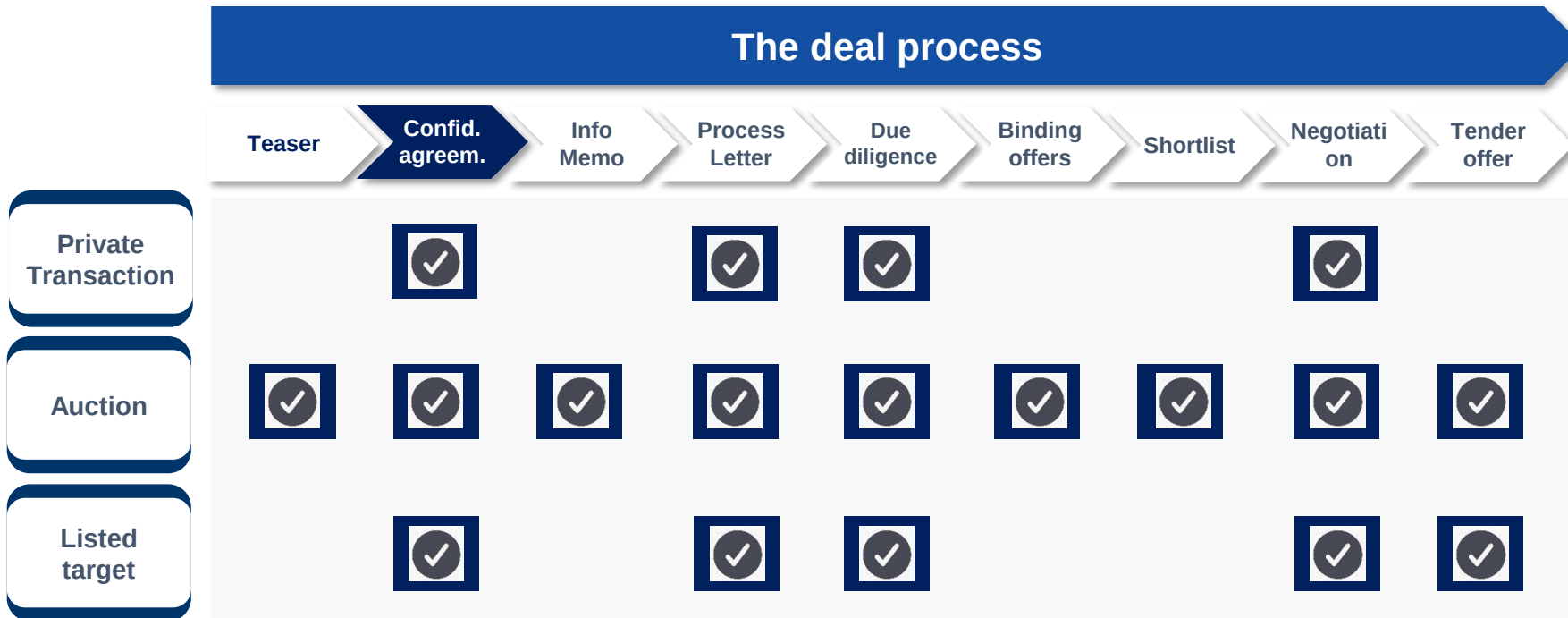
The process usually lasts between 2-6 months. Some auctions could even last up to an year

Teaser

A brief summary of the company with a short description of its business. Often does not include the company's name

The process of acquiring another company

Agreeing to keep a secret



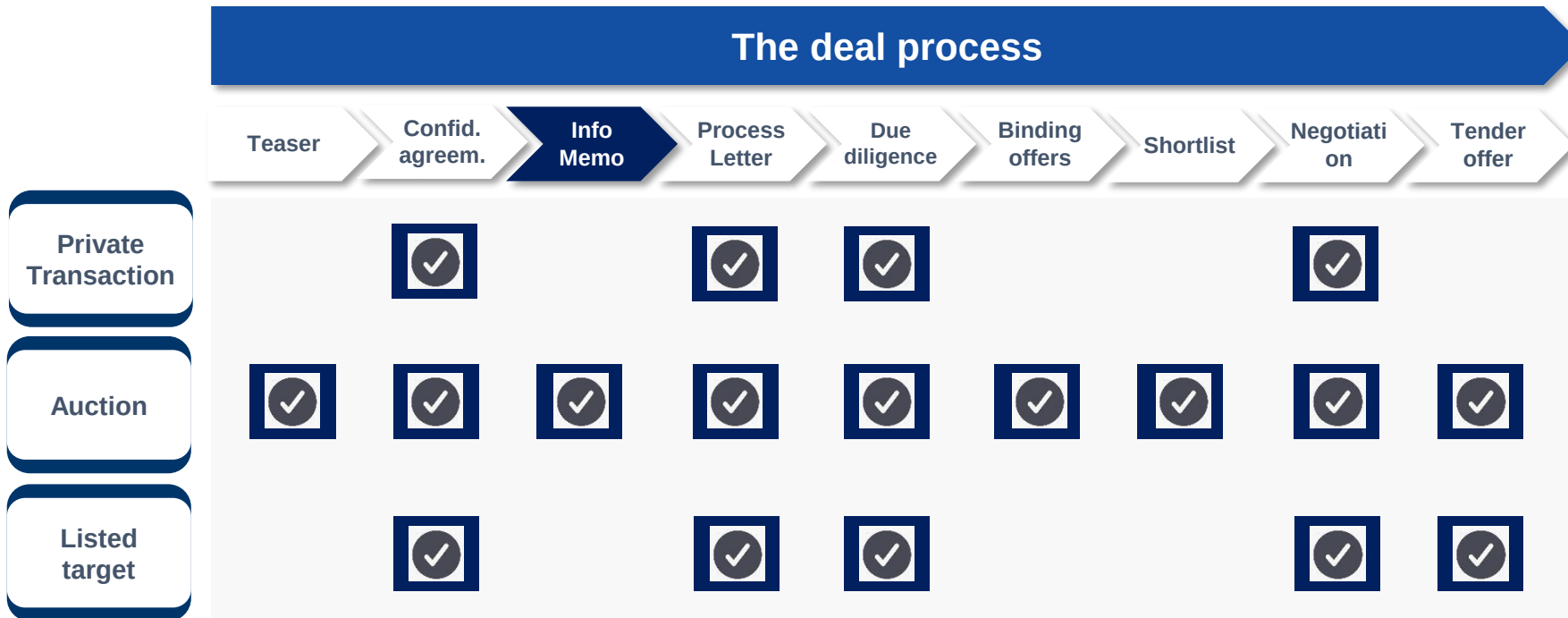
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Confidentiality agreement

An agreement not to distribute reserved information. The target needs to be assured that the access it gives to the bidders would not lead to a leakage of strategic information

The process of acquiring another company

Drafting and providing a more detailed description of the firm that is about to be sold



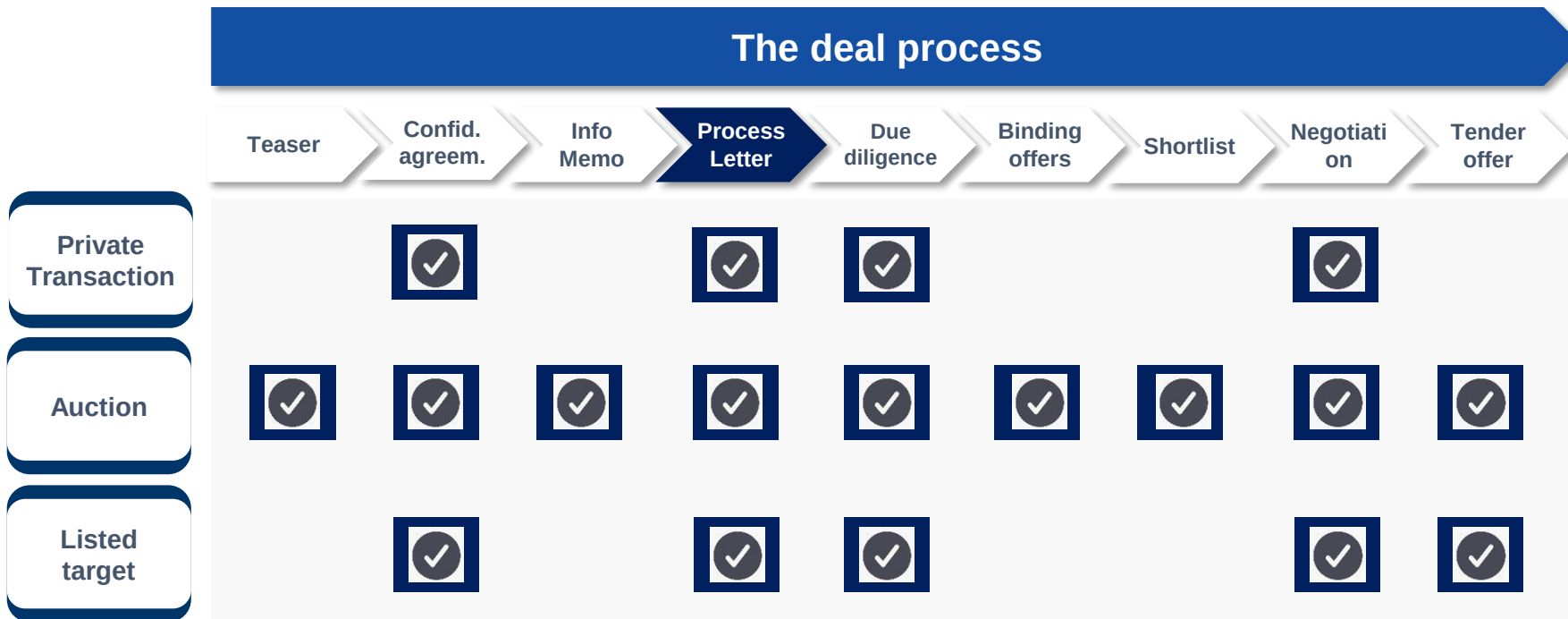
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Information Memorandum

A document providing a description of the target's business, financials, management team, product portfolio, market positioning etc.

The process of acquiring another company

Communicating the rules of the transaction



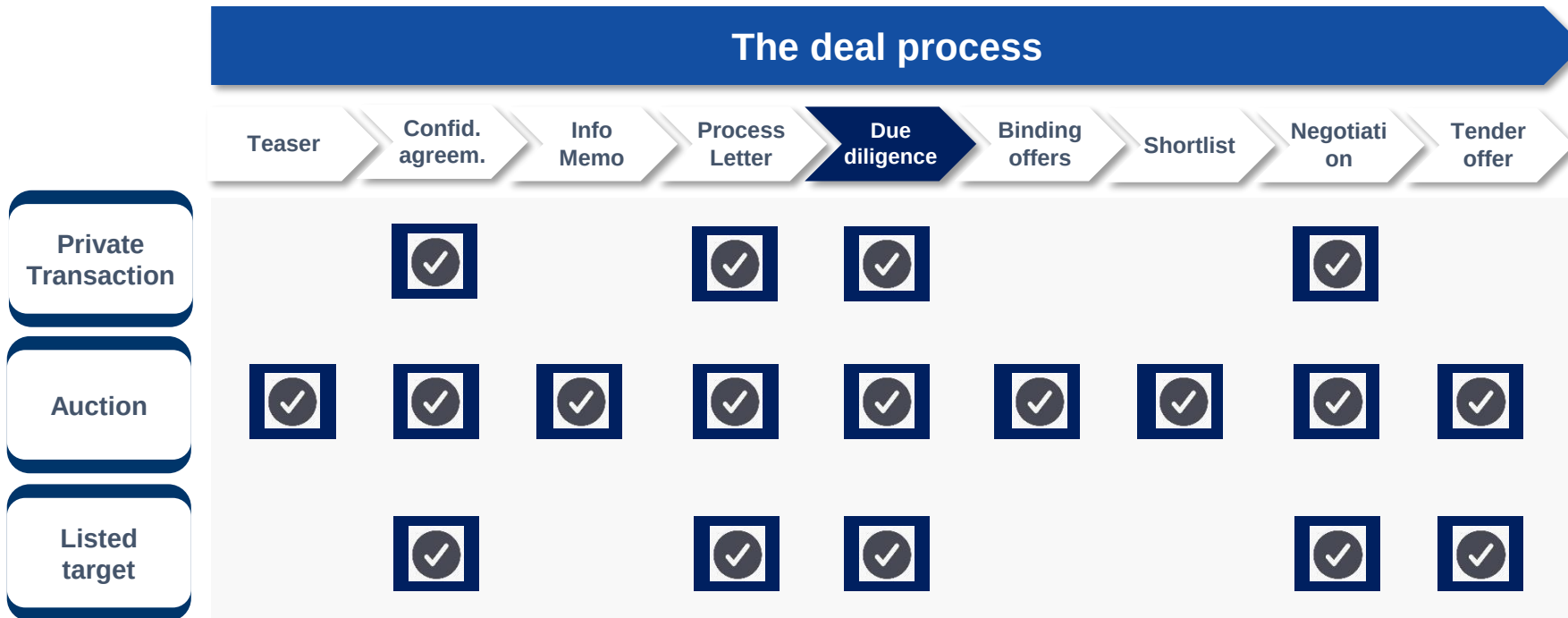
The process usually lasts between 2-6 months. Some auctions could even last up to an year

Process Letter

Defines the essential elements of the transaction: timing, valuation range, other conditions, due diligence access

The process of acquiring another company

Providing an inside look to potential acquirers



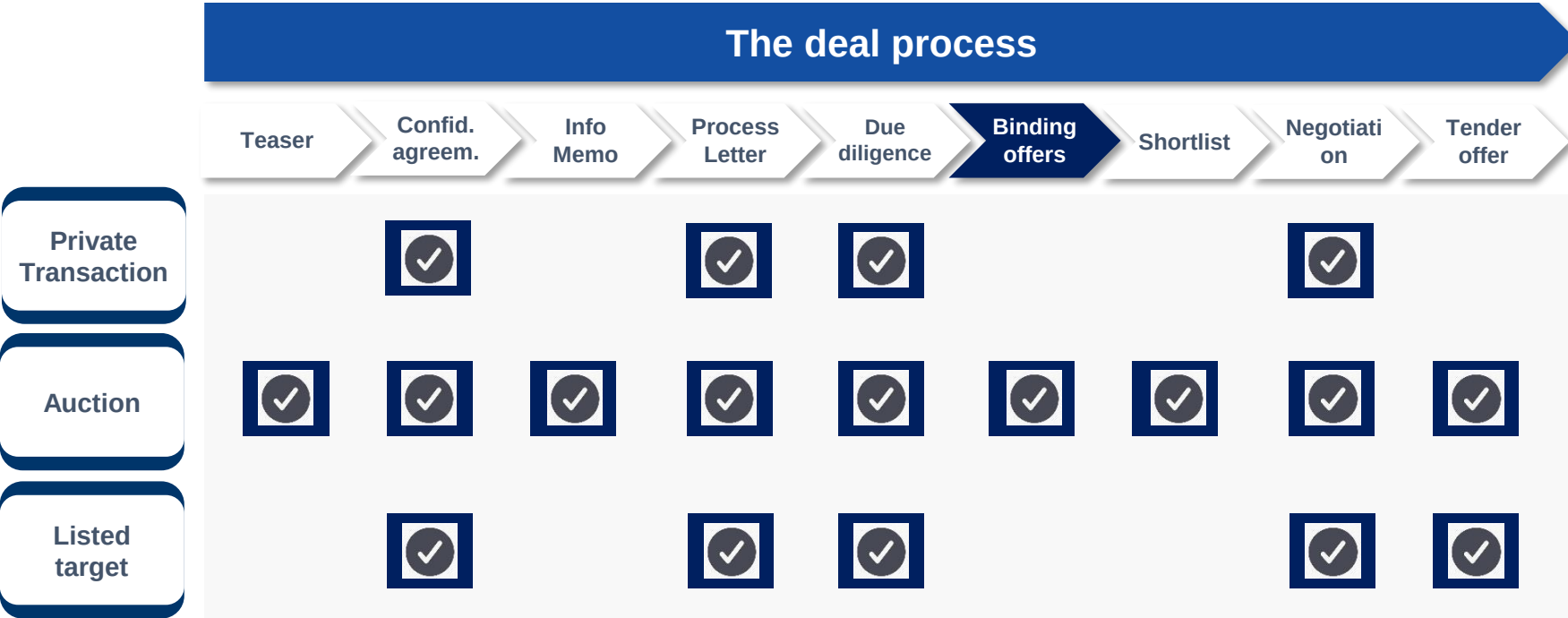
The process usually lasts between 2-6 months. Some auctions could even last up to an year

Due Diligence

The target firm provides access (limited or full) to its financial, tax and legal documentation. Often, information about the target is provided in a data room

The process of acquiring another company

Receiving offers from several buyers



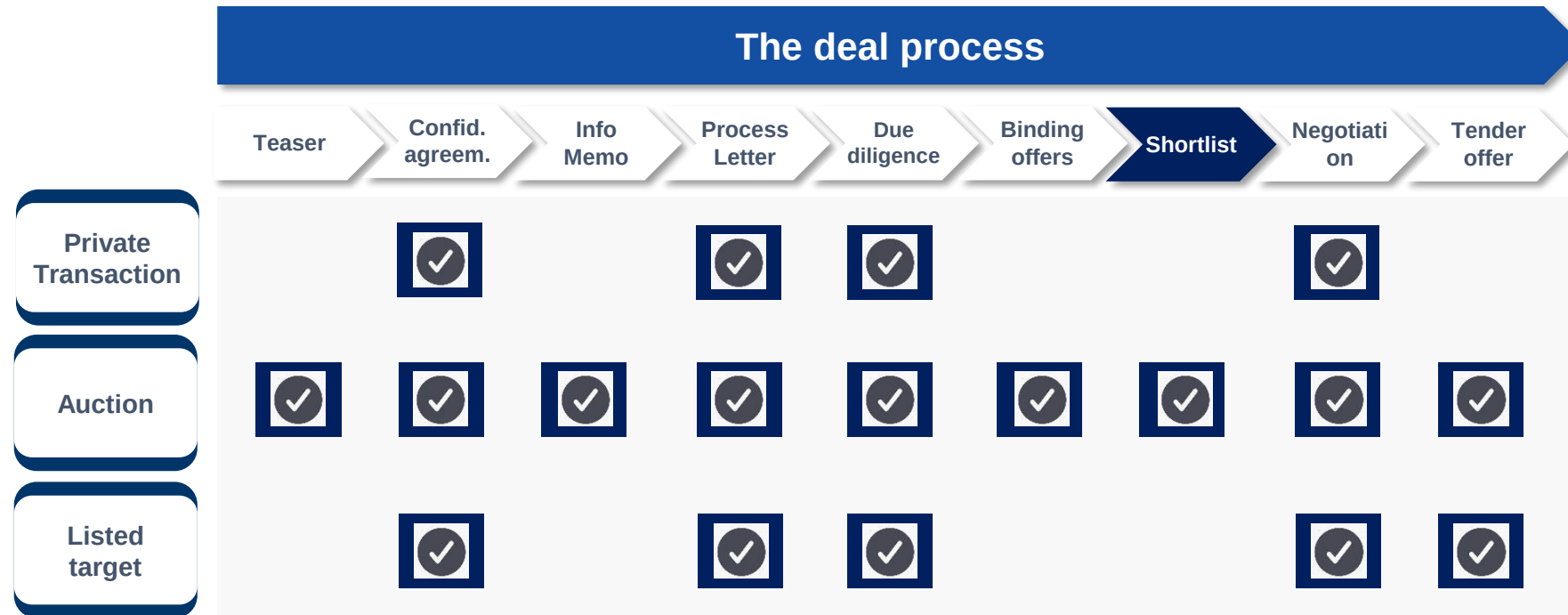
The process usually lasts between 2-6 months. Some auctions could even last up to an year

Binding Offers

Offers made by the participants in an auction, indicating how much they are willing to offer for the target. As the name suggests, these offers are binding

The process of acquiring another company

Choosing a selected few



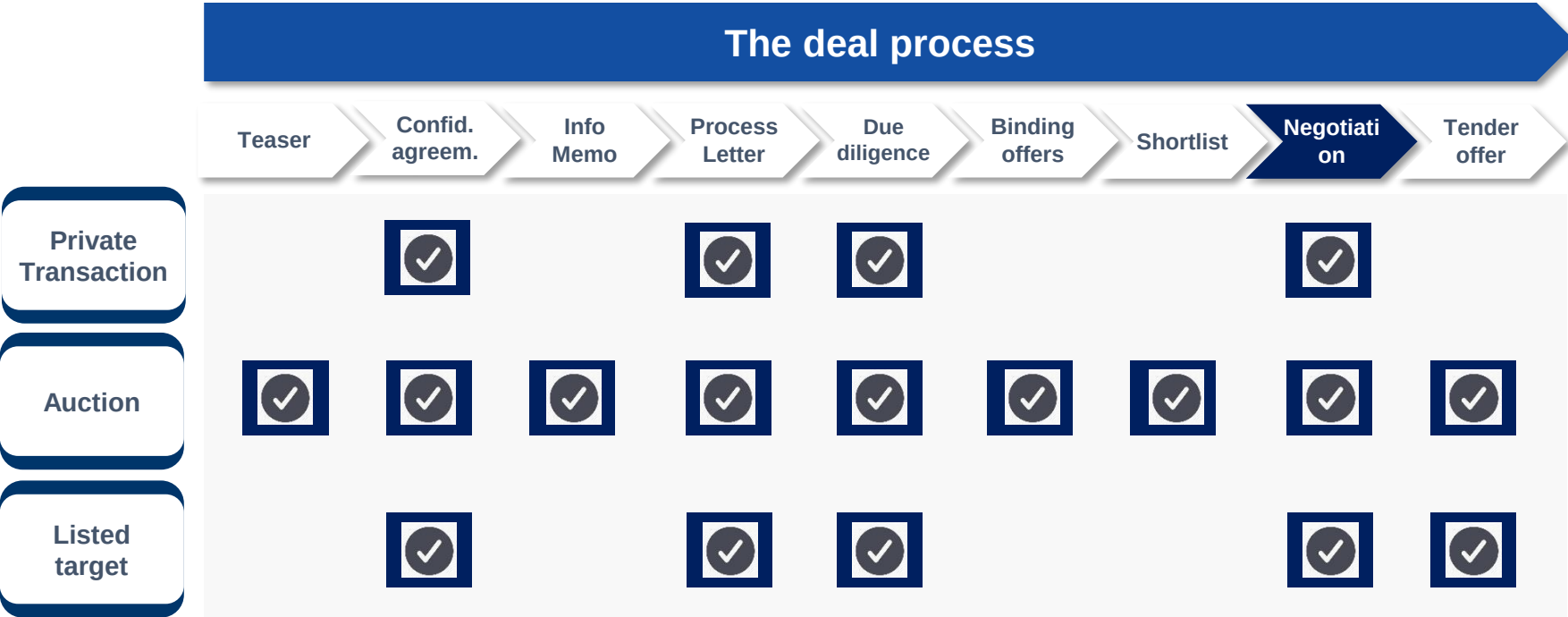
The process usually lasts between 2-6 months. Some auctions could even last up to an year

Shortlist

After receiving indications about a possible valuation, the target and its advisors decide which participants will be left in the auction and will receive due diligence access

The process of acquiring another company

Bridging financial or operational differences



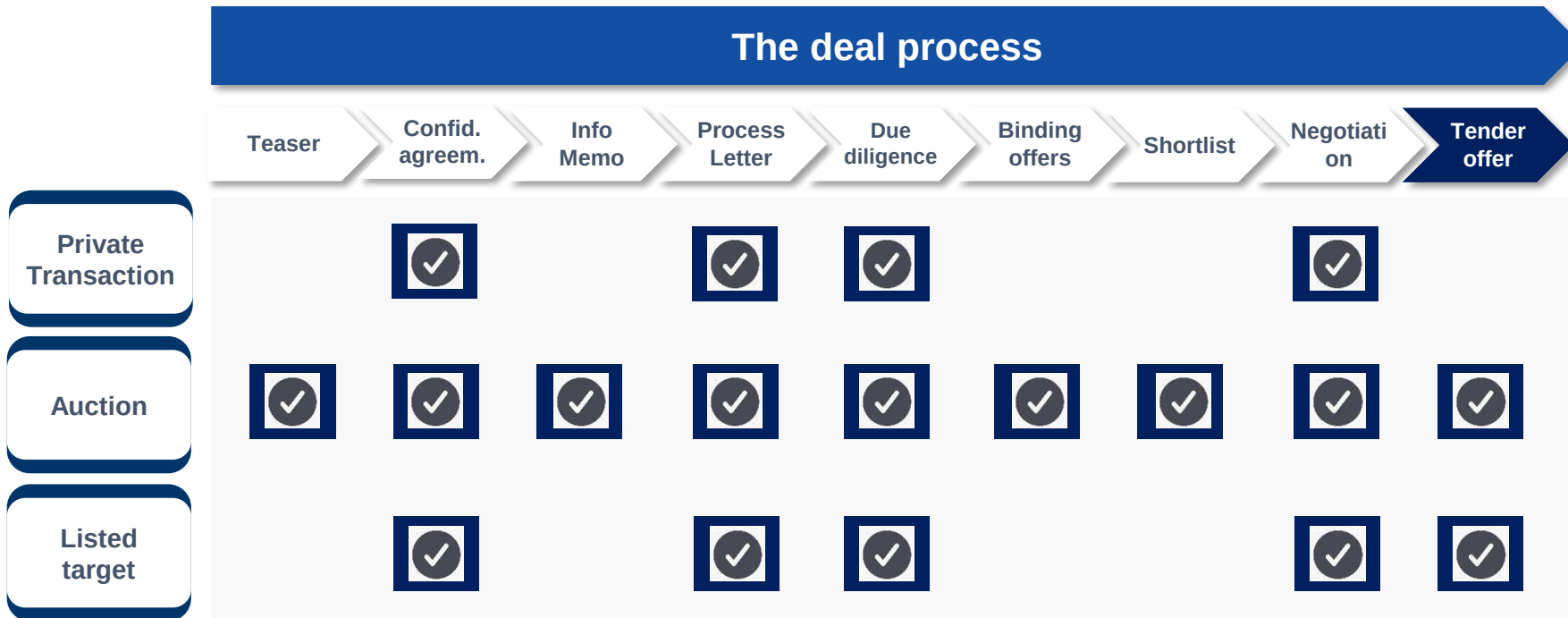
The process usually lasts between 2-6 months. Some auctions could even last up to an year

Negotiation

Negotiation includes various elements such as the structure of the price, earn-out mechanisms, price adjustment terms, etc.

The process of acquiring another company

Approaching the shareholders of a listed firm



The process usually lasts between 2-6 months. Some auctions could even last up to an year

Tender offer

A tender offer is submitted to a listed firm. It is a public, open offer addressed to all stockholders, which offers to buy their shares at a specified price

Valuation of target companies

Different ways to value a company

Why is it necessary to perform a valuation of the target company?

Find Fair Value for the Transaction

- ✓ Find Fair Value
- ✓ Value Synergies: Corporate buyers
- ✓ Value IRR: Private equity

Approach the right Buyers

- ✓ Approach Bidders who could “afford” the firm

Arrange financing

- ✓ Define how much needs to be financed
- ✓ Justify financing in front of banks



Discounted Cash Flows (DCF)

Inputs:

- Top line forecast for 5-10 years,
- Estimated cost of capital
- Growth rate after the forecast period

Trading Multiples

Inputs:

- Comparable firms which are listed
- A measure indicating operating profitability (e.g. EBITDA)

Transaction Multiples

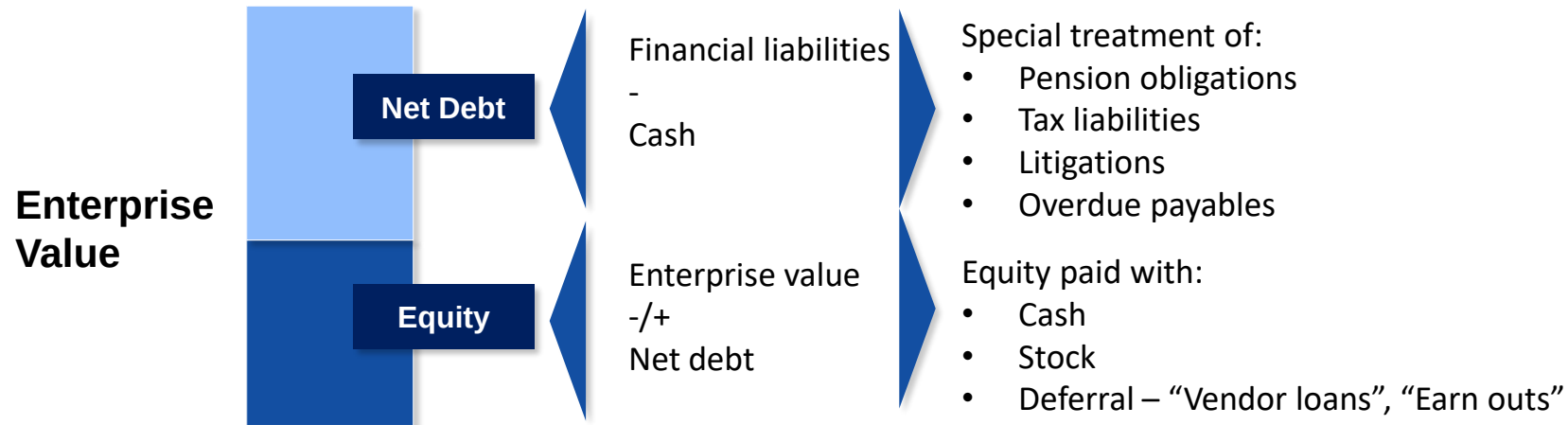
Inputs:

- Comparable firms, which have been subject to a transaction
- A measure indicating operating profitability (e.g. EBITDA)

Use a combination in order to triangulate results

Payment options in M&A deals

Different ways to pay when buying a company



Type of payment	 Cash	 Stock	 Earn-out
Advantages	✓ Does not dilute ownership ✓ Crystal value for seller	✓ Aligns the interests of new and old ownership ✓ No need for financing	✓ Aligns the interests of new and old ownership ✓ Helps to bridge expectations
Disadvantages	❖ If cost of debt is high, could be heavy ❖ No upside from future performance	❖ Dilutes ownership ❖ Subject to valuation	❖ Seller needs to monitor the firm post closing ❖ Seller depends on the Buyer’s management

Financial vs. Corporate Buyers

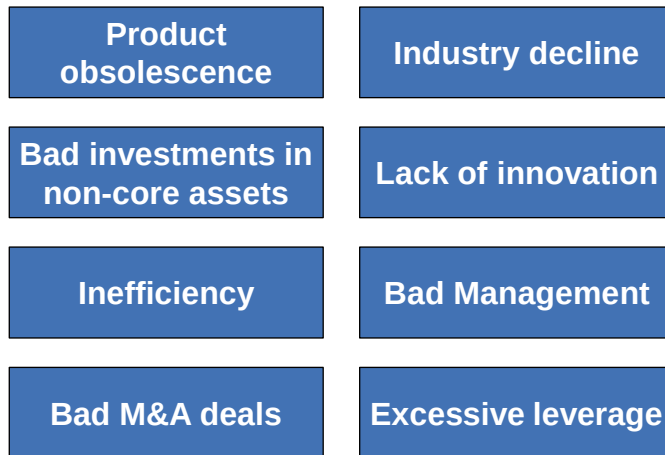
An important comparison between the two types of buyers in M&A deals

Type of Buyer	Financial Buyer	Corporate Buyer
Focus in the transaction	• Focus on cash flows, and capital gains	• Unlock synergies
Investment Horizon	• 3-5 years	• Long term
Type of deal	• Full Acquisition or consortia	• Full Acquisition, Merger, Joint Venture
Leverage in the transaction	• High	• Medium
Management involvement	• Following the company through Board representatives	• Integration of the Management of the two companies
Valuation focus	• Multiples • Cash flows • Cost of capital	• Synergies • Growth • Long term view

Restructuring: why and when

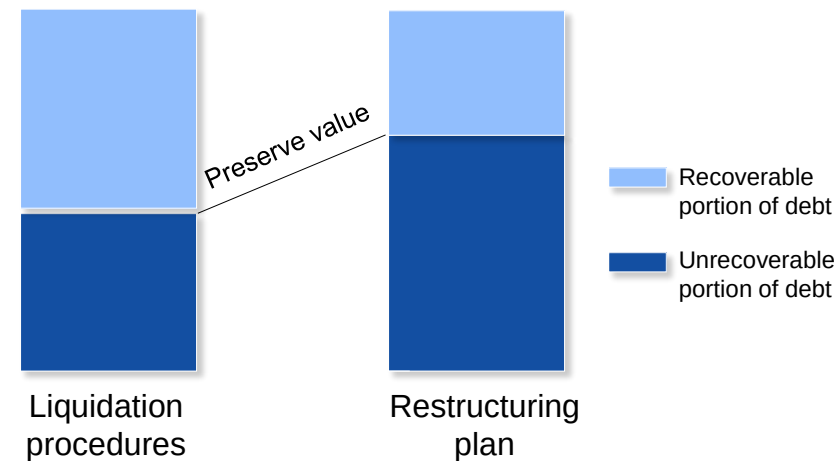
Understanding the purpose of restructuring

Which are the typical reasons for corporate distress?



Insufficient cash for operating activities

Which are the scenarios when restructuring is a viable option?



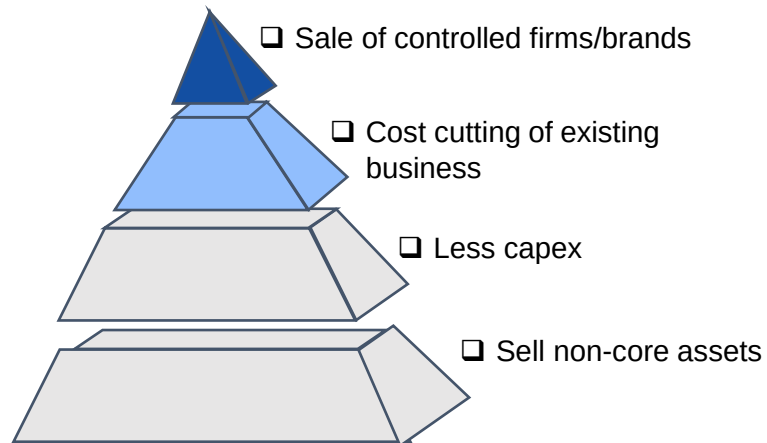
Restructuring aims to preserve the firm as a whole and repay more debt to creditors

Types of restructuring

How restructuring can be carried out in practice

Asset side restructuring

		Cash Flow generation	
		Low	High
Strategic importance	High	Optimization/ Cost cutting	Keep
	Low	Divest	Consider divesting



Liability side restructuring

An agreement between creditors to alter the conditions under which liabilities of the company will be restructured. The assumption is that liabilities would not be repaid in their entirety

The various options for debt restructuring are:

- Debt refinancing
- Suspending interest payments
- Debt write-off
- Debt-equity swap
- Introduce convertible bonds

Creditors need to assess 3 key parameters:

- Loss given default – Liquidation
- Loss given default – Restructuring
- Probability of successful restructuring

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Trading and Brokerage



Trading and Brokerage

Who is involved and what is their perspective

Type of institution	Focus	Time Horizon	Type of trading
Investment banks – trading desk	• Market making, profit from a bid/ask spread	 Short	Brokerage
	• Take proprietary positions and profit from them	 Short	Proprietary
Asset Management	• Buy securities for clients according to their preferences for portfolio allocation • Provide a low price	 Long	Brokerage
Hedge Funds	• Explore vulnerabilities in market pricing and profit from them	 Short	Proprietary

Asset Classes

A description of the different categories of asset classes traded by investment banks

Category		Product type	Description	Typical Investors
Equities	1	Blue chips	Well recognized and established large firms that have stable earnings. Also known as “investment grade” companies	Mutual funds, Pension funds
	2	Other stocks	The residual universe of stocks includes all other listed companies. Among them could be distinguished Mid and Small Cap stocks that have different risk profiles	Insurance companies, Retail Investors
Fixed Income	1	Government bonds	Government bonds are considered less risky. However, credit ratings vary widely among different governments. Credit Rating Agencies assess the ability of governments to repay debt	Mutual funds, Pension funds, Insurance companies
	2	Corporate bonds	Bonds issued by corporations. Credit Rating Agencies assess most corporations and express an opinion (in the form of rating). Based on this, some Mutual and Pension funds can buy only certain bonds (investment grade)	Mutual funds, Insurance companies, Retail investors
Other Financial Instruments	1	Commodities	Trading goods such as: coffee, corn, live cattle, rice, sugar, gold, silver, crude oil, gas, etc.	Companies, Commodity traders, Hedge Funds
	2	Derivative instruments	Derivative financial instruments are many and vary significantly in their nature. Some of them are used for hedging purposes by companies (in order to reduce risk), while others are for speculative reasons. Examples are forwards, futures, options, swaps, etc.	Companies, Hedge Funds

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Asset Management

Overview

Asset Management opportunities

Asset Management is a heterogeneous area. Various types of vehicles offer different risk-return investment opportunities to clients

